

Warsaw, August 30, 2023

Decision

DOKE.561.8.2023

Based on Article 104 § 1 of the Act of June 14, 1960, the Code of Administrative Procedure (Journal of Laws of 2023, item 775 consolidated text) in connection with Article 7 sections 1 and 2, Article 60, Article 101, Article 101a section 2, and Article 103 of the Act of May 10, 2018, on the protection of personal data (Journal of Laws of 2019, item 1781) and based on Article 57 section 1 letters a) and h), Article 58 section 2 letter i), Article 83 sections 1-3, Article 83 section 4 letter a) in connection with Article 31 and Article 83 section 5 letter e) in connection with Article 58 section 1 letters a) and e) of the Regulation of the European Parliament and Council (EU) 2016/679 of April 27, 2016, on the protection of natural persons in relation to the processing of personal data and on the free movement of such data and repealing Directive 95/46/EC (General Data Protection Regulation) (Official Journal of the EU L 119 of 04.05.2016, p. 1, with amendments published in Official Journal of the EU L 127 of 23.05.2018, p. 2, and in Official Journal of the EU L 74 of 04.03.2021, p. 35), hereinafter referred to as the "Regulation 2016/679", after conducting an ex officio administrative proceeding regarding the imposition of an administrative monetary penalty on A. S.A. based in W. at ul. (...), the President of the Personal Data Protection Office, stating that A. S.A. based in W. at ul. (...) violated the provisions of Article 31 and Article 58 section 1 letters a) and e) of Regulation 2016/679, consisting of a lack of cooperation with the President of the Personal Data Protection Office in the performance of his duties and failing to provide the President of the Personal Data Protection Office access to personal data and information necessary for the performance of his tasks, imposes on A. S.A. based in W. at ul. (...) an administrative monetary penalty in the amount of 56,592 PLN (in words: fifty-six thousand five hundred ninety-two zlotys).

JUSTIFICATION

Factual Background

1. The President of the Personal Data Protection Office (hereinafter referred to as "the President of UODO") received a complaint from Mr. A. M., residing in R. at ul. (...) (hereinafter referred to as "the Complainant") regarding irregularities in the processing of his personal data by A. S.A. based in W. at ul. (...) (hereinafter referred to as "the Company"), consisting of the failure to fulfill the information obligation towards the Complainant, as referred to in Article 15 sections 1 and 3 of Regulation 2016/679. In connection with the above, in order to address the allegations raised by the Complainant, the President of UODO is conducting administrative proceedings under case number DS.523.6048.2020.

2. As part of the aforementioned proceedings, acting under Article 58 section 1 letters a) and e) of Regulation 2016/679, the President of UODO – by letter dated December 30, 2020 – summoned the Company to respond to the complaint and to provide explanations regarding the matter by answering the following questions concerning the essence of the case:

- 1) "when (please specify the exact date), from what source, on what legal basis (please specify the specific provision(s) of law), for what purpose and to what extent (please list the categories/types of data) the Company obtained the Complainant's personal data,
- 2) whether, and if so, on what legal basis (please specify the specific provision(s) of law), for what purpose, to what extent (please list the categories/types of data) the Company processed or is currently processing the Complainant's personal data,
- 3) whether the Complainant submitted a request to the Company to exercise his rights in the area of personal data protection, in particular to obtain access to the information referred to in Article 15 section 1 of Regulation 2016/679, as well as to provide a copy of his personal data and what actions the Company took in this regard, whether, and if so, on what legal basis, how and when the Company responded to the Complainant's request."

This letter, addressed to the registered office of the Company as disclosed in the National Court Register, i.e., ul. (...), W., was received by the Company on January 4, 2021.

3. In response to the above summons, by letter dated January 15, 2021, the Company provided

explanations in which it stated that it was unable to unequivocally determine the source of the Complainant's personal data. The Company admitted that the Complainant contacted it – via an email dated October 9, 2018, sent to the address: (...) – with a request for information; however, the then data protection officer of the Company did not respond in any way to the aforementioned request. The Complainant's personal data in the form of: first name, last name, email address, and phone number were placed in the database of clients who exercised their right to request their deletion. The explanations provided by the Company did not contain a complete response to the detailed questions posed by the President of UODO in the summons for explanations dated December 30, 2020.

4. In connection with the above – by letter dated October 14, 2021 – the President of UODO again summoned the Company to submit explanations and evidence necessary to examine the validity of the allegations raised by the Complainant, including to indicate: the exact date, source, legal basis, purpose, and scope of the acquisition of the Complainant's personal data, as well as the legal basis, purpose, and scope of the processing of this data by the Company – both in the past and currently. Furthermore, the Company was obliged to clearly indicate the deadline for the deletion of the Complainant's personal data (along with the legal basis and method of its calculation) and to submit a copy of the Complainant's request.

on October 9, 2018, to which the Company referred in its explanations dated January 15, 2021. This summons, addressed to the registered office of the Company (see point 2 of the justification of this decision), was received by the Company on October 19, 2021. Despite receiving the correspondence, the Company did not respond in any way to the request of the data protection authority.

5. In the absence of a response from the Company, the President of the Personal Data Protection Office (UODO) once again – in a letter dated December 9, 2021 – requested the Company to provide explanations regarding the matter. This letter was delivered to the Company on December 14, 2021.

6. In response to the above summons, in a letter dated December 15, 2021, the Company provided the requested information. In particular, the Company indicated that the personal data of the Complainant, as a person conducting a sole proprietorship, was obtained from the Internet, from publicly available sources, based on Article 6(1)(f) of Regulation 2016/679, as the processing of this data was necessary for the purposes arising from the legitimate interests pursued by the Company – in this case, to present an offer to the Complainant (...). For this purpose, the first name, last name, email address, and phone number of the Complainant were obtained. The Company acquired the aforementioned data before the first telephone contact with the Complainant, i.e., before November 9, 2018. Currently, the basis for the Company's processing of the aforementioned personal data of the Complainant is Article 6(1)(d) of Regulation 2016/679 in connection with Article 118 of the Act of April 23, 1964 – the Civil Code (Journal of Laws of 2023, item 1610, consolidated text), hereinafter referred to as "k.c.", as, in light of the claims made by the Complainant against the Company, the processing is necessary to protect his vital interests. According to the Company's explanations, in accordance with the wording of Article 118 of the Civil Code, the personal data of the Complainant will be deleted by the Company on October 9, 2024, i.e., after the lapse of 6 years from the moment the Complainant submitted a request for data access. In order to fulfill the request of the supervisory authority, the Company attached a copy of the aforementioned request to its explanations.

7. Considering the fact that the explanations on behalf of the Company were submitted by (...) – the data protection officer of the Company, whose signature appears at the end of the letter dated December 15, 2021, and who did not present a power of attorney to represent the Company in the proceedings before the supervisory authority – the President of UODO, in a letter dated February 10, 2022, called upon the Company to supplement the formal deficiencies of the letter by providing explanations signed by persons authorized to represent the Company, in accordance with the entry in the National Court Register or to send the original or a certified true copy of the power of attorney granted to (...), which indicates the authorization to represent the Company before the President of UODO and to submit explanations in the proceedings with reference number DS.523.6048.2020. Despite receiving the aforementioned letter on February 11, 2022, the Company did not comply with the request of the supervisory authority.

8. In light of the above, the President of UODO once again – in a letter dated May 17, 2022 – requested the Company to supplement the formal deficiencies of the letter dated December 15, 2021. The Company received this correspondence on May 19, 2022; however, to this day, it remains unanswered by the Company.

9. The letters sent to the Company by the President of UODO on October 14, 2021, December 9, 2021, and May 17, 2022, contained a warning indicating that failure to provide a comprehensive response to the requests of the data protection authority may result, due to the lack of cooperation with the President of UODO in the performance of his duties and failure to provide the President of UODO with access to personal data and information necessary to carry out his tasks, in the imposition of an administrative monetary penalty on the Company in accordance with Article 83(4)(a) or Article 83(5)(e) of Regulation 2016/679.

10. The above factual circumstances were established by the President of UODO based on the entirety of the official correspondence conducted between the Company and the President of UODO, which is part of the case file with reference number DS.523.6048.2020. This correspondence fully and exhaustively documents all attempts by the President of UODO to gain access to the personal data and information needed to carry out his tasks – in this case, to consider the case with reference number DS.523.6048.2020, and on the other hand reflects the lack of response from the Company to the requests of the President of UODO.

Proceedings

11. In order to determine the reasons for the lack of response to the letters of the President of UODO sent to the Company in the proceedings with reference number DS.523.6048.2020, an employee of the Department of Organization, Penalties, and Enforcement of UODO – via the phone number: (...) – contacted the data protection officer of the Company, Mr. J. A. Justifying the inaction on the part of the Company, Mr. J. A. indicated that due to the remote nature of work in the Company, there are problems with the circulation of correspondence within the organization. The lack of response to the letters of the President of UODO was therefore not a deliberate action but merely a failure on the part of the Company. In this conversation, the data protection officer of the Company stated that the formal deficiencies in the Company's written explanations dated December 15, 2021, would be supplemented within 3 working days, i.e., no later than April 27, 2023. Despite this declaration, the Company did not fulfill the actions it was called upon to undertake by the President of UODO. At the same time, further attempts to establish telephone contact with Mr. J. A., repeated on May 5, 2023, and May 8, 2023, were unsuccessful.

12. Due to the Company's failure to provide the information necessary to resolve the case with reference number DS.523.6048.2020, the President of UODO initiated ex officio – based on Article 83(5)(e) of Regulation 2016/679 – this administrative proceeding with reference number DOKE.561.8.2023,

****Regarding the imposition of an administrative monetary penalty on the Company for the violation of Article 31 and Article 58 paragraph 1 letter a) and letter e) of Regulation 2016/679.****

The Company was informed of the initiation of proceedings by a letter dated May 24, 2023. This correspondence, addressed to the Company's registered office, was received by the Company on June 9, 2023. By this letter, the Company was summoned, in order to determine the basis for the penalty calculation based on Article 101a paragraph 1 of the Act of May 10, 2018 on the protection of personal data (Journal of Laws of 2019, item 1781), hereinafter referred to as "u.o.d.o.", to present a financial report or another document showing the amount of turnover and the financial result achieved by it in the year 2022.

Furthermore, the Company was informed of the nature of the alleged violation and was instructed about the sanctions that could be imposed. The Company was also informed that the submission of explanations, which the President of the UODO had previously requested from the Company in the proceedings with reference number DS.523.6048.2020, may have a mitigating effect on the amount of the administrative monetary penalty imposed in this case. Additionally, the Company was instructed

about the possibility of expressing its opinion, prior to the issuance of the administrative decision, regarding the collected evidence and materials as well as the submitted requests.

13. The Company did not take any action in response to the information about the initiation of these proceedings. After reviewing all the evidence collected in the case, the President of the Office for Personal Data Protection considered the following.

****Legal Provisions****

14. According to Article 57 paragraph 1 letter a) of Regulation 2016/679, the President of the UODO – as the supervisory authority within the meaning of Article 51 of Regulation 2016/679 – monitors and enforces the application of this regulation within its territory. As part of its competencies, the President of the UODO considers, among other things, complaints lodged by data subjects, conducts proceedings regarding these complaints to the appropriate extent, and informs the complainant about the progress and results of these proceedings within a reasonable time (Article 57 paragraph 1 letter f of Regulation 2016/679) and conducts proceedings regarding the application of this regulation, including based on information received from another supervisory authority or another public authority (Article 57 paragraph 1 letter h of Regulation 2016/679).

15. To enable the realization of the tasks defined in this manner, the President of the UODO has a number of powers specified in Article 58 paragraph 1 of Regulation 2016/679 regarding the conducted proceedings, including the power to order the controller and the processor to provide all information necessary to fulfill its tasks (Article 58 paragraph 1 letter a) and the power to obtain from the controller and the processor access to all personal data and information necessary to fulfill its tasks (Article 58 paragraph 1 letter e).

16. A violation of the provisions of Regulation 2016/679 consisting of the failure of the controller or the processor to provide access to personal data and information resulting in a violation of the rights of the authority specified in Article 58 paragraph 1 of this legal act is subject – in accordance with Article 83 paragraph 5 letter e) in fine of Regulation 2016/679 – to an administrative monetary penalty of up to EUR 20,000,000, and in the case of an enterprise – up to 4% of its total annual worldwide turnover from the previous financial year, with the higher amount applying.

17. Additionally, both the controller and the processor are obliged, at the request of the supervisory authority, to cooperate with it in the performance of its tasks, as stated in Article 31 of Regulation 2016/679. Failure to comply with this obligation is subject to – in accordance with Article 83 paragraph 4 letter a) of Regulation 2016/679 – an administrative monetary penalty of up to EUR 10,000,000.

18. According to Article 83 paragraph 3 of Regulation 2016/679, in the event of a violation by the controller or the processor within the framework of the same or related processing operations of several provisions of this regulation, the total amount of the administrative monetary penalty may not exceed the amount of the penalty for the most serious violation.

19. In assessing whether, and if so, to what extent an administrative monetary penalty should be imposed, the supervisory authority is obliged to take into account the following circumstances (criteria for penalty calculation) specified in Article 83 paragraph 2 of Regulation 2016/679:

- a) the nature, gravity, and duration of the violation, taking into account the nature, scope, or purpose of the processing, the number of affected data subjects, and the size of the damage suffered by them,
- b) the intentional or unintentional nature of the violation,
- c) actions taken by the controller or the processor to mitigate the damage suffered by the data subjects,
- d) the degree of responsibility of the controller or the processor, taking into account the technical and organizational measures implemented by them under Articles 25 and 32,
- e) any relevant previous violations by the controller or the processor,
- f) the degree of cooperation with the supervisory authority to remedy the violation and mitigate its possible negative effects,
- g) the categories of personal data affected by the violation,

- h) the manner in which the supervisory authority became aware of the violation, in particular, whether and to what extent the controller or the processor reported the violation,
- i) if measures referred to in Article 58 paragraph 2 have been previously applied to the controller or the processor in the same matter – compliance with those measures,
- j) the application of approved codes.

proceedings under Article 40 or approved certification mechanisms under Article 42,

- k) any other aggravating or mitigating factors applicable to the circumstances of the case, such as financial benefits obtained directly or indirectly in connection with the violation or losses avoided.

20. Furthermore, the supervisory authority – in accordance with Article 83(1) of Regulation 2016/679 – ensures that the administrative fines imposed are effective, proportionate, and dissuasive in each individual case (principles of penalty assessment).

21. For the purpose of determining the basis for the administrative fine, the entity subject to the proceedings for the imposition of an administrative fine is obliged, at the request of the President of the UODO, to provide, within 30 days from the date of receipt of the request, the data necessary to determine this basis (Article 101a(1) of the Act on the Protection of Personal Data). In the event that the entity subject to the penalty fails to provide this data, the President of the UODO determines the basis for the administrative fine in an estimated manner, taking into account the size of the entity, the specificity of its activities, or publicly available financial data concerning the entity (Article 101a(2) of the Act on the Protection of Personal Data).

22. According to the provisions of Article 103 of the Act on the Protection of Personal Data, the equivalent amounts expressed in euros referred to in Article 83 of Regulation 2016/679 are calculated in zlotys according to the average euro exchange rate announced by the National Bank of Poland in the exchange rate table on January 28 of each year, and in the event that the National Bank of Poland does not announce the average euro exchange rate on January 28 of a given year – according to the average euro exchange rate announced in the nearest exchange rate table of the National Bank of Poland after that date.

23. Pursuant to Article 60 of the Act on the Protection of Personal Data, the proceedings regarding violations of personal data protection regulations are conducted by the President of the UODO.

Furthermore, Article 7(1) of the Act states that in matters not regulated by this Act, the provisions of the Code of Administrative Procedure apply to administrative proceedings before the President of the UODO (including proceedings concerning the imposition of administrative fines referred to in Chapter 11 of the Act). According to Article 7(2) of the Act, these proceedings are single-instance proceedings.

Legal Assessment

24. Referring the above-mentioned provisions of Regulation 2016/679 to the established factual state in this case, it should first be considered whether the Company is the addressee of the obligations referred to in Articles 31 and 58(1)(a) and (e) of Regulation 2016/679, the violation of which is subject to an administrative fine under Articles 83(4) and (5) of Regulation 2016/679. Both of the aforementioned provisions of Regulation 2016/679 impose procedural obligations – within the proceedings conducted by the President of the UODO – on controllers and on processors.

25. In the case with reference number DS.523.6048.2020 – the President of the UODO established – based on the information and evidence presented by the Complainant in their complaint and in the absence of any denial of this circumstance by the Company, that the personal data of the Complainant was processed by the Company, acting in this processing as the controller, for the purpose of providing commercial information regarding the services offered by the Company. As evidenced by the evidence gathered in this case, a representative of the Company contacted the Complainant several times by phone with the intention of presenting the Company's offer. Furthermore, marketing content was also directed by the Company to the Complainant's email address. Undoubtedly, the role of the Company in the process of processing the Complainant's personal data fulfilled the definition of "controller" established in Article 4(7) of Regulation 2016/679. The determination that the Company acted as the controller of the Complainant's personal data in the contested processing allows for the conclusion that the Company was obliged to provide all information requested by the President of the UODO for a thorough and comprehensive examination of the complaint that is the subject of the proceedings with reference number DS.523.6048.2020.

26. In the proceedings DS.523.6048.2020, in order to obtain explanations from the Company necessary to examine the validity of the allegations raised by the Complainant – acting based on Article 58(1)(a) and (e) of Regulation 2016/679 – the President of the UODO repeatedly requested the Company to respond to the content of the complaint and to provide explanations by answering detailed questions regarding the case (see points 2, 4, 5, 7, and 8 of the justification of this decision). The first letter sent to the Company by the President of the UODO on December 30, 2020, was received by the Company on January 4, 2021. In response to the aforementioned request, the Company provided explanations regarding the matter; however, the information presented by it was terse, imprecise, and ultimately far from complete, as it did not contain answers to key questions formulated by the data protection authority. Consequently, these explanations did not significantly contribute to establishing the factual state of the case with reference number DS.523.6048.2020, whose comprehensive analysis could only allow for examining the validity of the allegations raised by the Complainant. Another letter sent to the Company – a request for additional explanations dated October 14, 2021 – was delivered to the Company on October 19, 2021. Despite the proper delivery of the mentioned correspondence, the Company did not take any action to comply with the request of the supervisory authority and did not provide the information or evidence it was obliged to submit. As a result, on December 9, 2021, the President of the UODO sent another letter to the Company regarding this matter – this request was delivered to the Company on December 14, 2021. Consequently, in a letter dated December 15, 2021, the Company...

submitted the required information, in which she comprehensively addressed the issues of acquiring and processing the personal data of the Complainant, including the legal bases, purpose, and scope of processing, as well as the estimated date of their deletion. However, this letter was affected by formal deficiencies, as it was signed by the data protection officer of the Company, (...), who, at the time of drafting the aforementioned letter, was not listed in the National Court Register as a person authorized to represent the Company, and at the same time did not present the original or a certified true copy of the power of attorney granted to him, which would indicate authorization to represent the Company before the President of the UODO in the proceedings with reference number DS.523.6048.2020. In light of this finding, the President of the UODO twice summoned the Company to rectify the formal deficiencies of its letter dated December 15, 2021. Both summonses directed to the Company in this matter, i.e., the letter dated February 10, 2022, and the letter dated May 17, 2022, despite being received by the Company – on February 11, 2022, and May 19, 2022, respectively – were completely ignored by the Company. The direct telephone contact established on April 24, 2023, with (...) did not bring about any changes to this situation. The Company's data protection officer did provide an oral justification for the Company's lack of response to the correspondence from the President of the UODO, indicating that the remote nature of work in the Company causes difficulties in the proper circulation of incoming correspondence (due to the lack of any evidence confirming this fact, it is impossible to assess the truthfulness of this explanation), and also made a declaration that the formal deficiencies of the Company's letter dated December 15, 2021, would be supplemented by April 27, 2023. However, despite assurances from (...), the Company did not take any action in this regard. Consequently, due to the described inaction of the Company, the President of the UODO did not gain access to the personal data and information necessary to carry out his tasks – in this case, to investigate the merits of the Complainant's complaint. The mentioned letter from the Company cannot be used as a valid piece of evidence in the proceedings with reference number DS.523.6048.2020, as there are no grounds to assume that it originates from a person authorized to represent the Company.

27. The initiation of these proceedings by the President of the UODO regarding the imposition of an administrative monetary penalty on the Company (reference number DOKE.561.8.2023) did not bring about any changes in the Company's conduct either. The letter dated May 24, 2023, addressed to the Company within this proceeding (see point 12 of the justification of this decision), which was received by the Company on June 9, 2023, also remained unanswered by the Company.

28. It should be pointed out at this point that the responsibility for not providing the requested information to the President of the UODO rests with the Company. In this case, it is undoubtedly clear that it was the Company's duty to ensure an organization of correspondence circulation that would

allow for the timely fulfillment of the obligations imposed by the provisions of Regulation 2016/679. The Company, as an entity conducting business activity, should have designated – in its internal organizational regulations or by appropriately defining the scope of duties of its employees – a person authorized to receive incoming correspondence for the Company. In such a situation, “delivery [of the letter] occurs on the date confirmed by that person as having received the letter. The determination of this date is not influenced by whether that person subsequently forwarded the letter to individuals designated to perform the actions to which the letter pertained. This is already a matter of the internal organization of the work of the organizational unit that is the addressee of the letter. It is the duty of each unit to organize the receipt of letters in such a way that this action is performed by an authorized person, and it is this unit that bears the responsibility for properly organizing the acceptance of letters and the circulation of correspondence, which should occur continuously and without interruption” (see Judgment of the Provincial Administrative Court in Warsaw dated December 9, 2020, reference number VI SA/Wa 1697/20, LEX no. 3162004). Considering the above, it should be concluded that the delivery of correspondence addressed to the Company in the proceedings with reference number DS.523.6048.2020 (which correspondence remained unanswered by the Company) occurred on October 19, 2021, February 14, 2022, and May 19, 2022, which initiated the deadlines for the actions that the Company was summoned to undertake by the President of the UODO – in this case, to provide explanations and evidence necessary for the supervisory authority to carry out its tasks. The lack of any activity from the Company in this regard undoubtedly burdens the Company.

29. Therefore, it is undisputed that the President of the UODO, exercising the authority referred to in Article 58(1)(a) and (e) of Regulation 2016/679, directed to the Company, in a manner compliant with the provisions of the Code of Administrative Procedure regulating summons (Chapter 9 of the Code of Administrative Procedure), a request for information necessary to carry out his tasks – in this case, for the substantive resolution of the matter with reference number DS.523.6048.2020. It is also undisputed that the President of the UODO did not receive the requested information from the Company, which constitutes a violation of Article 58(1)(a) and (e) of Regulation 2016/679.

30. The Company’s action of not providing the President of the UODO with access to the information necessary for him to clarify the factual state of the matter with reference number DS.523.6048.2020 simultaneously fulfills the characteristics of a violation of Article 31 of Regulation 2016/679. The cooperation of the controller with the supervisory authority in the performance of its tasks, which is the subject of the obligation specified in this provision, also includes, and may even primarily consist of, the obligation to present to the authority – at its request – all information in its possession. information related to the subject of the administrative proceedings conducted with its participation. The consequence of the lack of access to the information requested by the President of the UODO from the Company was an obstacle to the objective, thorough, and comprehensive examination of the case, as well as an unjustified extension of the duration of the proceedings initiated by the complaint of the Complainant, which in turn contradicted the fundamental principles governing administrative proceedings – specified in Article 12(1) of the Administrative Procedure Code (k.p.a.) regarding the principles of thoroughness and speed of proceedings.

31. In light of the above, the President of the UODO states that in this case there were grounds justifying the imposition of an administrative monetary penalty on the Company – pursuant to Article 83(5)(e) in fine and Article 83(4)(a) of Regulation 2016/679 – in connection with the lack of cooperation with the supervisory authority in the performance of its tasks (Article 31 of Regulation 2016/679) and in connection with the failure of the Company to provide access to information necessary for the President of the UODO to carry out his tasks, namely to examine the complaint submitted by the Complainant (Article 58(1)(a) and (e) in connection with Article 57(1)(f) of Regulation 2016/679).

32. At the same time, due to the finding of the Company’s violation of several provisions of Regulation 2016/679 (Article 31 and Article 58(1)(a) and (e)), in accordance with the provisions of Article 83(3) of this legal act, the President of the UODO determined the amount of the imposed administrative monetary penalty not to exceed the amount of the penalty for the most serious of these violations. In the established factual state of the case, the President of the UODO considered the violation

consisting of the Company's failure to provide him with access to the information necessary for the performance of his tasks, namely the violation of Article 58(1)(a) and (e) of Regulation 2016/679, which is subject to a monetary penalty of up to EUR 20,000,000. The seriousness of this violation is evidenced by the fact that the lack of access to the information requested by the President of the UODO not only hindered an objective, thorough, and comprehensive examination of the case but also resulted in an excessive and unjustified extension of the duration of the proceedings, which could render the Complainant's right to request the President of the UODO to provide protection of his rights and freedoms ineffective – indeed, fictitious.

Criteria and principles for determining the amount of the administrative monetary penalty

33. Pursuant to Article 83(2) of Regulation 2016/679, administrative monetary penalties are imposed depending on the circumstances of each individual case. In each case, attention is paid to a number of criteria listed in points (a) to (k) of the aforementioned provision (see point 13 of the justification of this decision). In deciding to impose an administrative monetary penalty on the Company in this case and determining its amount, the President of the UODO took into account the following circumstances that aggravate the assessment of the violation:

34. The nature, gravity, and duration of the violation (Article 83(2)(a) of Regulation 2016/679). The violation subject to the administrative monetary penalty in this case undermines the system aimed at protecting one of the fundamental rights of individuals, which is the right to the protection of personal data, or more broadly – the right to privacy. An essential element of this system, the framework of which is defined by the provisions of Regulation 2016/679, are supervisory authorities, which have been assigned tasks related to the protection and enforcement of individuals' rights in this regard. In order to enable the realization of these tasks, supervisory authorities have been equipped with a range of control powers, powers enabling the conduct of administrative proceedings, and remedial powers. On the other hand, administrators and processors have been imposed, correlated with the powers of supervisory authorities, specific obligations, including the obligation to ensure access to personal data and information necessary for the realization of their tasks. The importance of violating these obligations has been emphasized by the EU legislator itself, providing for a higher penalty for their violation under two provisions of Regulation 2016/679 – a penalty of up to EUR 20,000,000, and in the case of an enterprise – up to 4% of its total annual worldwide turnover from the previous financial year, with the higher amount applying. The Company's conduct in this case, consisting of the failure to submit all explanations and evidence requested by the President of the UODO – resulting in hindrance and unjustified extension of the proceedings conducted by the President of the UODO – should therefore be regarded as undermining the system of personal data protection, and for this reason, it is of significant importance and reprehensible nature. The seriousness of the violation is further increased by the fact that the violation committed by the Company was not a one-time and incidental event. The Company's failure was continuous and prolonged. It lasted from the moment the 7-day deadline for submitting explanations, set in the letter sent to the Company in the proceedings with reference number DS.523.6048.2020 dated October 14, 2021 – counted from October 19, 2021, i.e., from the day the letter was delivered to the Company – and thus from October 26, 2021, until the day of the issuance of the decision concluding this proceeding.

35. The intentional nature of the violation (Article 83(2)(b) of Regulation 2016/679). In the opinion of the President of the UODO, there was a conscious and deliberate lack of cooperation on the part of the Company in ensuring the authority's access to all information necessary to resolve the matter that the President of the UODO had repeatedly requested from it. The failure to respond to the correspondence directed to the Company is perceived by the President of the UODO as a deliberate action aimed at hindering or even preventing him from making a decision.

****Assessment of the Validity of the Complaint Filed by the Complainant.****

It is worth noting at this point that the Company received all the summons directed to it, and therefore, it should be presumed that the individuals managing the Company were aware of the content of the requests from the President of the UODO. The failure to respond to them must therefore have been the result of a deliberate decision by those acting on behalf of the Company. It is also important to

emphasize that the most recent letter addressed to the Company by the President of the UODO dated May 24, 2023, informing about the initiation of these proceedings – in addition to information about the violations committed by the Company – also indicated to the Company that it still had the opportunity to provide the information requested by the President of the UODO in the proceedings with reference number DS.523.6048.2020. The Company was thus fully aware of the violation committed and knew how to resolve the state of that violation (by providing the requested information to the President of the UODO, i.e., explanations signed by persons authorized to represent the Company, in accordance with the content of the entry in the National Court Register or the original or a certified true copy of the power of attorney granted (...), which indicates the authorization to represent the Company before the President of the UODO and to submit explanations in the proceedings with reference number DS.523.6048.2020). However, the Company did not respond to this letter either, which should be treated as a conscious and deliberate action, negatively impacting the assessment of the violation identified in this case.

36. All relevant prior violations by the administrator (Article 83(2)(e) of Regulation 2016/679).

The current administrative proceedings concerning the violation by the Company of Article 31 and Article 58(1)(a) and (e) of Regulation 2016/679 is not the first proceeding conducted by the President of the UODO against the Company, in which a violation of personal data protection regulations by the Company was established. An analysis of the cases initiated so far by the supervisory authority, in which the Company acted as the data administrator, indicates that two of them ended with the issuance of an administrative decision by the President of the UODO, admonishing the Company for violating Article 6(1) and Article 15(1)(g) of Regulation 2016/679. The decisions made in this regard are covered by: the administrative decision of the President of the UODO dated March 28, 2022, issued in the case with reference number DS.523.114.2021, which became final on May 4, 2022, and the administrative decision of the President of the UODO dated March 31, 2023, issued in the case with reference number DS.523.6464.2020, which became final on May 19, 2023. Although the violations identified in the aforementioned proceedings differ in subject matter from the violation under examination in this case – as the subject of protection under Article 6(1) of Regulation 2016/679 is the legality of personal data processing, Article 15(1)(g) grants the right of access to personal data and information about their processing to the data subject, while Articles 31 and 58(1)(a) and (e) pertain to proper cooperation with the supervisory authority – it must be noted that the mere fact of the occurrence of repeated unlawful behaviors within the structures of the Company indicates a general, dismissive approach of the Company to its obligations related to personal data protection. It should also be pointed out that both the violations identified in the proceedings with reference numbers DS.523.11.2021 and DS.523.6464.2020, as well as the one covered by the current proceedings, were committed by the Company in a similar manner. In all three cases, the Company did not provide the requested information – which it was obliged to do under the provisions of Regulation 2016/679. Indeed, in the cases with reference numbers DS.523.11.2021 and DS.523.6464.2020, the Company should have ensured access to information for the individuals whose data it processed, while in the proceedings with reference number DS.523.6048.2020, it should have provided the information to the supervisory authority examining potential irregularities in the Company's personal data processing. Nevertheless, in all the described cases, the *modus operandi* of the Company was similar and involved a conscious obstruction of the exercise of the right of access to personal data and information by the entitled parties.

It is also significant that all the discussed violations were committed by the Company in a similar timeframe, i.e., from November 2020 (regarding the violation of Article 6(1) and Article 15(1)(g) of Regulation 2016/679) to October 26, 2021 (regarding the violation of Article 31 and Article 58(1)(a) and (e) of Regulation 2016/679, with the state of non-compliance of the Company's behavior with the law persisting to the present day). Given that the Company had previously been subjected to remedial measures in the form of admonitions on two occasions, this circumstance must be taken into account as an aggravating factor, considered against the Company in the current proceedings regarding the imposition of an administrative monetary penalty. The passive attitude of the Company, which had the

opportunity to provide explanations until the issuance of the decision in this matter, as requested by the President of the UODO in the proceedings with reference number DS.523.6048.2020, clearly indicates that the remedial measures applied so far have not achieved the expected effect, as they did not prompt the Company to cooperate with the supervisory authority in subsequent proceedings involving it.

37. The degree of cooperation with the supervisory authority to eliminate the violation and mitigate its potential negative effects (Article 83(2)(f) of Regulation 2016/679).

During the current proceedings regarding the imposition of an administrative monetary penalty on the Company, the Company did not engage in any cooperation with the President of the UODO. In particular, the Company did not provide the information requested by the President of the UODO in the proceedings with reference number DS.523.6048.2020, which could have...

be treated as an action aimed at removing the identified violation in this case or mitigating its effects. Such lack of cooperation with the President of the UODO resulted in hindering and unjustifiably prolonging the proceedings conducted by the President of the UODO. The Company's continued state of violation (lack of willingness to restore compliance with the law by fulfilling its procedural obligations in the proceedings before the President of the UODO) affects – in the opinion of the President of the UODO – negatively the assessment of the identified violation.

38. In the opinion of the President of the UODO, none of the circumstances referred to in Article 83(2) of Regulation 2016/679 support the mitigation of the established – taking into account the above-mentioned aggravating circumstances – amount of the penalty imposed by this decision.

39. Other circumstances, indicated below, referred to in Article 83(2) of Regulation 2016/679, after assessing their impact on the identified violation in this case, were considered by the President of the UODO to be neutral in his assessment, meaning they had neither an aggravating nor a mitigating effect on the amount of the imposed administrative monetary penalty:

- The manner in which the supervisory authority became aware of the violation (Article 83(2)(h) of Regulation 2016/679). The information about the violation identified in this case was obtained by the President of the UODO ex officio by analyzing the course of the ongoing proceedings before him under reference DS.523.6048.2020. This is a natural way of obtaining information about such a violation, resulting from the President of the UODO's competence to assess the course of this proceeding and to determine what information is necessary for resolving the case at hand. There are therefore no grounds for negatively assessing the fact that the information about the violation did not come from the Company; however, this fact cannot be taken into account in favor of the Company since it did not participate in obtaining the information about the violation by the President of the UODO.

- Compliance with previously applied measures in the same case, referred to in Article 58(2) of Regulation 2016/679 (Article 83(2)(i) of Regulation 2016/679). Prior to issuing this decision, the President of the UODO did not apply any measures listed in Article 58(2) of Regulation 2016/679 against the Company in the examined case, which is why the Company had no obligation to take any actions related to their application, and such actions, assessed by the President of the UODO, could have had an aggravating or mitigating effect on the assessment of the identified violation.

- The application of approved codes of conduct or approved certification mechanisms (Article 83(2)(j) of Regulation 2016/679). The Company does not apply the instruments referred to in Articles 40 and 42 of Regulation 2016/679. However, their adoption, implementation, and application are not mandatory for controllers, as provided by the provisions of Regulation 2016/679, which is why the circumstance of their non-application cannot be considered against the Company in this case. On the other hand, the circumstance of adopting and applying such instruments as measures guaranteeing a higher than standard level of protection of personal data being processed could be taken into account in favor of the Company.

- Financial benefits obtained directly or indirectly in connection with the violation or losses avoided (Article 83(2)(k) of Regulation 2016/679). The President of the UODO did not find that the Company, due to its failure to provide the requested information, gained any financial benefits or avoided such losses. Therefore, there are no grounds for treating this circumstance as aggravating for the Company.

The existence of measurable financial benefits resulting from the violation of the provisions of Regulation 2016/679 should be assessed very negatively. On the other hand, the Company's failure to achieve such benefits, as a natural state resulting from the assumption that an entrepreneur conducting business activities achieves financial benefits (profits) on the condition of complying with applicable legal requirements, is a circumstance that, by its very nature, cannot be mitigating for it. This is confirmed by the very wording of Article 83(2)(k) of Regulation 2016/679, which requires the supervisory authority to pay due attention to the benefits "obtained" – that is, those that occurred on the part of the entity committing the violation.

- Other aggravating or mitigating factors (Article 83(2)(k) of Regulation 2016/679). The President of the UODO, comprehensively considering the case, did not note any other circumstances than those described above that could have an impact on the assessment of the violation and the amount of the imposed administrative monetary penalty.

40. The remaining circumstances mentioned in Article 83(2) of Regulation 2016/679 could not be taken into account by the President of the UODO due to the specific nature of the violation (concerning the relationship between the controller and the supervisory authority, and not with the data subjects).

These are:

- The number of affected individuals and the extent of the damage suffered by them (Article 83(2)(a) of Regulation 2016/679) – due to the fact that the violation (the failure to provide the President of the UODO with access to the necessary information) is not associated with a violation of the personal data protection of any individual and consequently, no damages occurred on the part of natural persons;
- Actions taken by the controller to minimize the damage suffered by the data subjects (Article 83(2)(c) of Regulation 2016/679) – due to the fact that no damages occurred on the part of natural persons, there is no obligation or possibility for the Company to take any actions aimed at minimizing such damages.

the infringement) is set at a level that reflects the significant scale of the entity's operations. The financial penalty imposed by this decision is intended to ensure compliance and cooperation with the President of the Personal Data Protection Office (UODO) in future proceedings.

45. The President of UODO has also taken into account the nature of the infringement, which, while serious, does not involve the processing of personal data, as previously mentioned. The lack of direct harm to individuals' personal data mitigates the severity of the penalty, aligning it with the principles of effectiveness, proportionality, and deterrence as outlined in Article 83(1) of Regulation 2016/679.

46. Furthermore, the President of UODO recognizes that the imposition of a financial penalty serves not only to punish the entity but also to promote a culture of compliance within the industry. It is essential that entities understand the importance of adhering to data protection regulations and the consequences of failing to do so.

47. In conclusion, the financial penalty imposed on the Company is deemed appropriate given the circumstances of the case, the scale of its operations, and the need to ensure future compliance with data protection obligations. The President of UODO emphasizes that this decision is a clear signal to the Company and the wider market regarding the importance of cooperation with regulatory authorities in safeguarding personal data.

established in this case violation) will be sufficiently burdensome for him on one hand and thus effective, but also manageable without jeopardizing the material basis of his existence and the business he conducts.

45. Taking into account the provision of Article 103 of the Personal Data Protection Act, the President of the Personal Data Protection Office imposed an administrative fine on the Company for the violations described in the operative part of this decision, applying the average euro exchange rate from January 30, 2023 (where 1 EUR = 4.7160 PLN) – in the amount of 56,592 PLN (which is equivalent to 12,000 euros).

In light of the above, the President of the Personal Data Protection Office ruled as stated in the operative part of this decision.

Instruction

The decision is final. According to Article 53 § 1 of the Act of August 30, 2002 on Proceedings Before Administrative Courts (Journal of Laws of 2023, item 259), hereinafter referred to as "p.p.s.a.", the party has the right to file a complaint to the Provincial Administrative Court in Warsaw within 30 days from the date of its delivery, through the President of the Personal Data Protection Office (address: ul. Stawki 2, 00-193 Warsaw). A fee must be paid for the complaint, in accordance with Article 231 in connection with Article 233 of the p.p.s.a. According to Article 74 of the Act of May 10, 2018 on the Protection of Personal Data (Journal of Laws of 2019, item 1781) (hereinafter "u.o.d.o."), the filing of a complaint by the party to the administrative court suspends the execution of the decision regarding the administrative fine.

In the proceedings before the Provincial Administrative Court, the Party has the right to apply for legal aid, which includes exemption from court fees and the appointment of a lawyer, legal advisor, tax advisor, or patent attorney. Legal aid may be granted upon the Party's request submitted before the initiation of the proceedings or during the proceedings. The application is free of court fees.

According to Article 105 § 1 of the u.o.d.o., the administrative fine must be paid within 14 days from the expiry of the deadline for filing a complaint to the Provincial Administrative Court, or from the date of the court's decision becoming final, to the bank account of the Personal Data Protection Office at NBP branch in Warsaw no. 28 1010 1010 0028 8622 3100 0000.

Furthermore, according to Article 105 § 2 of the u.o.d.o., the President of the Personal Data Protection Office may, upon a justified request from the penalized entity, postpone the deadline for payment of the administrative fine or allow it to be paid in installments. In the case of postponement of the deadline for payment of the administrative fine or allowing it to be paid in installments, the President of the Personal Data Protection Office shall charge interest on the unpaid amount at an annual rate, applying a reduced late payment interest rate, announced based on Article 56d of the Act of August 29, 1997 - Tax Ordinance (Journal of Laws of 2022, item 2651, as amended), from the day following the day of submission of the request.

Print article

Metadata

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Department of Penalties and Enforcement

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